RBI - OFFICIAL REGULATORY DIRECTION

Master Direction on Securitisation of Standard Assets and Minimum Holding Period (MHP)

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Chapter 1: Operational Compliance Guidelines (DOC_027)

Chapter 2: Operational Compliance Guidelines (DOC_027)

Section 3: Minimum Holding Period (MHP) and Minimum Retention Requirement (MRR)

3.1 Minimum Holding Period (MHP) Prior to Securitisation
Originating NBFCs may securitise standard retail or MSME loans only after meeting the Minimum Holding Period (MHP): 3 months from the date of registration of underlying security (or first installment paid) for loans with original maturity up to 2 years, and 6 months for loans with original maturity exceeding 2 years.

3.2 Minimum Retention Requirement (MRR)
For underlying loans with original maturity of 24 months or less, the Minimum Retention Requirement (MRR) shall be 5 percent of the book value of the loans being securitised. For loans with original maturity above 24 months, the MRR shall be 10 percent.

Chapter 4: Operational Compliance Guidelines (DOC_027)

Chapter 5: Operational Compliance Guidelines (DOC_027)

Chapter 6: Operational Compliance Guidelines (DOC_027)